



TEXAS EDUCATION FREEDOM ACCOUNTS

TEFA: LOTTERY UPDATE

The Texas Education Freedom Accounts (TEFA) program conducted a lottery to determine the next group of awards and establish the waitlist.

Total Applications

More than 274,000 applications were received between February 4 and March 31, 2026. All applications have been reviewed and placed into their proper priority tiers.

- 25,400 ineligible applications
- 28,233 tier 1 students – AWARDED & NOTIFIED
- 16,520 siblings of tier 1 students – AWARDED & NOTIFIED
- 51,181 tier 2 students – AWARDED & NOTIFIED*
- 20,383 tier 2 students on the waitlist*
- 65,368 tier 3 students on the waitlist
- 66,951 tier 4 students on the waitlist
 - Tier 4a: 13,245 prior public school 2024-25
 - Tier 4b: 53,706 not enrolled in a public school 2024-25

Lottery & Award Process

The week of April 27, the TEFA program conducted a lottery to establish the order for awards and the waitlist.

1. The program determined that all eligible tier 1 applicants and siblings will qualify for funding of approximately \$415 million. Because sufficient funding is available to cover this entire group of students, award notices were sent to all confirmed tier 1 students and their siblings the week of April 20.
2. All students were assigned a position using a random number generator lottery and placed in sequential order. Siblings were then grouped according to the applicant in their household with the highest priority tier and the highest sequential position determined by the lottery.
3. Because the program has determined there is not sufficient funding to cover all eligible tier 2 applicants, we awarded funding to tier 2 students in sequential order until all available funding was allocated.
4. All applicants not awarded were placed on the waitlist according to priority tier and in sequential order.

5. The program has established a reserve budget to cover successful appeals that would result in a TEFA award or a funding increase. Once appeals related to eligibility, priority tier, and funding amount are complete, remaining reserve funds may be used to make additional awards to the next available students on the waitlist. See Appeals section below for more information.

The initial waitlist includes students in tiers 2, 3 and 4 who did not receive awards.

Award notifications to tier 2 students began the week of May 4. We will notify students in all tiers of their approximate position on the waitlist by May 11.

Next Steps

Awarded: Applicants visiting the program portal managed by Odyssey should continue to see a message that their students are either eligible or ineligible. On May 11, the program portal will update to allow parents of awarded students to “opt in” to accept their student’s award and select the participating private school they plan to attend, if applicable.

- For July 1 funding, parents must opt into the program on behalf of their students and select their participating private school by June 1, and the participating private school must confirm enrollment through the program portal by June 15.
- For August funding, parents must opt into the program on behalf of their students and select their participating private school by July 15, and the participating private school must confirm enrollment through the program portal by July 31.

Students must opt in and select either a participating school or homeschool/other by July 15 to receive funding.

Private schools join the program on a rolling basis, and we expect additional schools to apply through the summer. If you do not see your preferred private school on the list of participating schools at this time, please talk with the school about whether they meet the requirements and intend to participate in the program. Some schools are waiting for final accreditation or the conclusion of the school year to meet the requirements.

It is possible for parents to change their students’ educational setting selection and take the lower homeschool/other amount (\$2,000) if they do not confirm enrollment in a participating private school and the student will not attend a public or charter school.

Waitlisted: Students who are not awarded an account will be placed on the waitlist and the program portal will be updated to reflect the student’s status as waitlisted. Families will be notified of a student’s priority tier and their approximate waitlist position. As parents decline awards or drop out of

the program, students on the waiting list will be provided an opportunity to participate in the program. Funding amounts may be prorated depending on the timing of the award.

Appeals

Any decision made by the program, including eligibility, funding amounts, and application priority, is subject to appeal. Parents can initiate appeals by contacting Odyssey at help.tx@withodyssey.com or find [more information here](#).

The application window closed at 11:59pm on March 31, 2026 and new applications cannot be accepted.

Ineligible applicants were notified by email between April 16 and April 23. Applicants were determined ineligible if they were unable to demonstrate Texas residency or lawful presence in the U.S., failed to provide proof of income, or were ineligible for free Prekindergarten, which has different eligibility requirements than K-12. Appeals seeking to correct their application or provide new information are unlikely to be successful.

Appeals for Tier 1 Prioritization and Special Education Funding: Some applicants indicated that their child qualified for special education and also had a current Individualized Education Program (IEP) on file with the Texas Education Agency (TEA), yet the program was unable to electronically confirm a current IEP on file with TEA. If no IEP was located on file with TEA, applicants were moved to tier 2 or 3 based on their income level, and all applicants in this position will be invited to initiate an appeal to assist us in locating their IEP. A current IEP means one on file with TEA from the 2023-24, 2024-25, or 2025-26 school year.

In some cases, although an IEP was not found, the parent provided documentation of a child's disability that qualified the child for priority status, but not for additional funding. Applicants planning to attend a participating private school who remain confident that a current IEP should have been found on file with TEA should file an appeal and provide additional information to assist us in locating their IEP for additional funding.